HA 4.sem. course Entrepreneurship, Business Models, and Innovation

Lecture: Entrepreneurship in practice – the new venture creation

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Entrepreneurship in practice – Todays' agenda

- **Business planning – What it is, but also why: what is the rationale?**
  - **Internally – management challenges re planning and coping with growth**
  - **External environment – pressures and flux accentuates need for planning instruments**
- **BP – what are they?**
- **Critical perspectives on traditional business planning**
- **Approaches to how to do BP/planning**

Point for discussion:

Why do entrepreneurs start businesses, and why do small businesses fail?

- ?? Your suggestion on the latter:

Reasons why businesses fail.

Section 5.10 in textbook + lecture 3 provided a number of detailed answers.

Common denominator – the way entrepreneurial ventures are managed and planned has an impact

'If you are failing to plan you are planning to fail' (Tariq Siddique)

***Importantly*: NOT ONLY RELEVANT FOR START-UP OF NEW FIRMS**

(see also Castrogiovanni, G.J., 1996, Journal of Management)

Businesses Plans – an imperative?

'According to conventional wisdom, the first thing every founder must do is create a business plan – a static document that describes the size of an opportunity, the problem to be solved, and the solution that the new venture will provide.

Typically it includes a five-year forecast for income, profits, and cash flow.'

(Blank, S., Harvard Business Review, 2013)

However, the value of a BP is for discussion….

"The business plan is popularly acknowledged to be a key component in the success or failure of a commercial venture – whether new or established. However, the possession of a business plan is not a guarantee of success and there is mixed evidence that firms with formal plans are any more profitable than firms without" (textbook, p.191) AND (p.193):

"Formal business planning among entrepreneurs is likely to reduce failure rates even if it does not significantly enhance profitability…"

Business plans - functions?

- Raise funding and other resources (external use)
- Suppliers and/or customers (CSR, quality assurance,,,) (external use)

Internal use:

- Agreement between founders
- Instrument for continuos strategising
- Identify trade-offs – aid decision making
- Managing growth! Turbolense, time constraints internally, and external pressures:

Planning and management of new ventures – not easily done and prioritised.

”According to the textbooks firms have rational behaviour, they optimize on costs and profits. Unfortunately, reality is completely different. Managers of SMEs are running around spending the bulk of their time acting as firefighters. They act in a turbolent environment and only manage to deal with the cases of angry costumers, wasted resources and the consequences of chaotic planning”.

(Henrik Holt Larsen, CBS, ‘Ledelse – lige nu’)

Doing it all by yourself?
The need for business planning and insourcing resources

- **Management – complexity, MISTAKES and inadequate skills!**
  - **Training + Competencies + Inability to identify lack of internal skills and reluctance to access those skills.**
  - **Lack of parting with influence and control, delegating**
  - **Evidence that more experienced and more educated managers use BP more and are good at complementing resources**
  - **Uncertain contexts – more or less need for BP ???**

Business plans - how much? 40 pages (Timmons, 1999)?

- Factors affecting the extent of a business plan:
- Use – internal/external. And:
  - **Cost in time and money to prepare the plan**
  - **Management style and ability**
  - **Preferences of the management team**
  - **Complexity/type of the business (e.g. soc.entr.)**
  - **Competitive environment**
  - **Level of uncertainty**
  - **Audience (e.g. investors)**

(see also fig. 7.5 in textbook on four different strategic planning types)

So business plan writing is:
a) different in different firms and
b) an on-going process – not only relevant in the initial planning stage

- Good business plans don't ensure success.
  - Effective implementation might make success.
- Writing a business plan is only secondarily an end-product.
  - **The process is just as, or more, important as, the finished product.**
  - **The plan represents what has been anticipated at a point at time**
  - **A good entrepreneur adapts the plan to fit the unexpected (Karlsson and Honig, 2009).**

Business plans - deficiencies

- **Research on business plan qualities shows major shortcomings in marketing and finance**
  - **Too few have a marketing strategy and sales/distribution plan. The 'go to market mechanism' is not specified** (Grupp and Maital, 2001)
  - **Potential competitors are not identified**
  - **Financial forecasts are too superficial, no sensitivity analysis.**
- **Moreover:**
- **Unrealistic assumptions? Over-optimistic entrepreneurs**

Four often observed planning errors

- **1. Companies don't have hard data but, once a few key decisions are made, proceed as though their assumptions were facts.**
- **2. Companies have all the hard data they need to check assumptions but fail to see the implications**
- **3. Companies possess all the data necessary to determine that a real opportunity exists but make implicit and inappropriate assumptions about their ability to implement their plan.**
- **4. Companies start off with the right data, but they implicitly assume a static environment and thus fail to notice until too late that a key variable has changed.**

- **('Discovery-driven business planning', McGrath and MacMillan, Harvard Business Review)**

Business planning – Content?

Business plans - what are they? (numerous variations, e.g. p 197 in textbook)

No universal standard, but often has these topics:

- **Description of service or product sold**
- **Market projections**
- **Segmentation of costumers**
- **Entry barriers and competitor analyses**
- **Management team and need for additional competencies**
- **Price, distribution, sales**
- **Threats and weaknesses**
- **Finance – cash flows, budgets, financing requirements, break-even, ROI**

The need for business planning and opportunity screening

- The Market, Management, Money (3M-model, see section 3.5)
- E.g. the market, assess:
  - Customer needs
  - Growth, size, structure of the market
  - Product series size, services
  - Segmentation and projection of possible market share
    - TAM – SAM - SOM
  - Entry barriers and competitors' strategies
  - Price, distribution, sales
- Planning does not solve these problems but alleviate negative effects from surprises?

Business plans - models/instruments?
Most of them well-known to you?

- SWOT/TOWS
- 4P – marketing plan
- TAM – SAM - SOM
- PESTL
- MVP
- Business model canvas
- 5 forces (Porter)
- ….

May be combined, e.g. 5-forces to identify Threats

A number of checklists/skeletons and test-instruments

SWOT analysis

- Lack of marketing knowledge
- Location of the business or reputation

- A new, innovative product or service
- Location of the business
- Specific knowledge

SWOT Analysis

- New competitor
- Taxation
- New competitor's product

- A new international market
- Strategic alliances

How to create (part of-) a strategy from SWOT?

- How to use all the strenghts?
- How to improve or overcome the weaknesses?
- How to exploit opportunities?
- How to reduce or eliminate the threats?

PEST(E)L : How is the sea where our ship is sailing?

- **P**olitical
- **E**conomical
- **S**ocial
- **T**echnological
- **L**egal factors
  - Environmental factors, Demographic factors

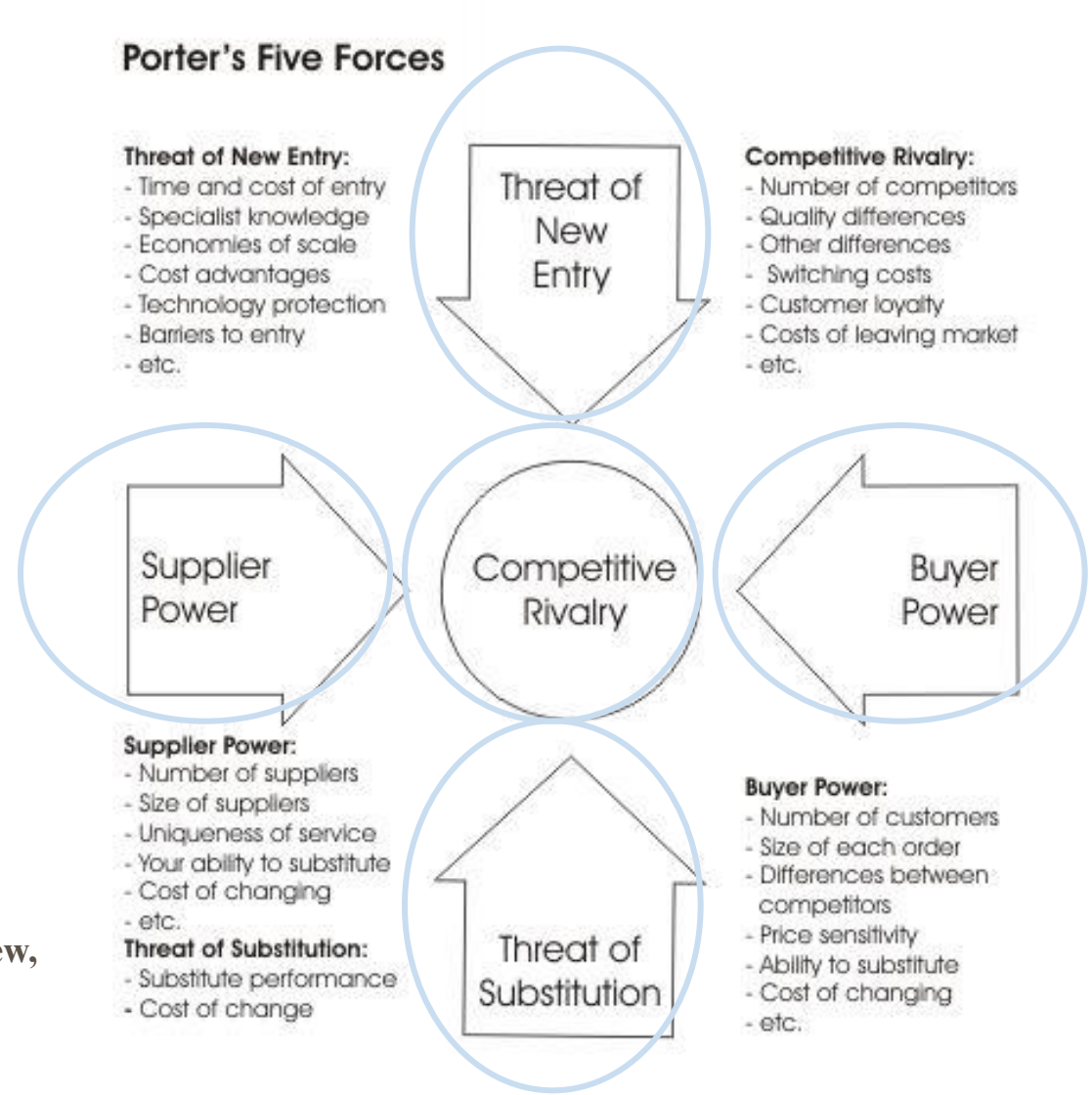
- The PESTL model should be considered as part of the external analysis
- Provides an overview of factors in the environment the company should consider.
- Especially useful when going international

Porter five forces model

- Five forces determine the competitive intensity and overall industry profitability
- The forces affect firms' ability to serve its costumers and make profits
- Higher impact of forces-lower profitability

The model has shown to be intuitively appealing and useful, but challenging to use in practice (Dobbs, 2014).

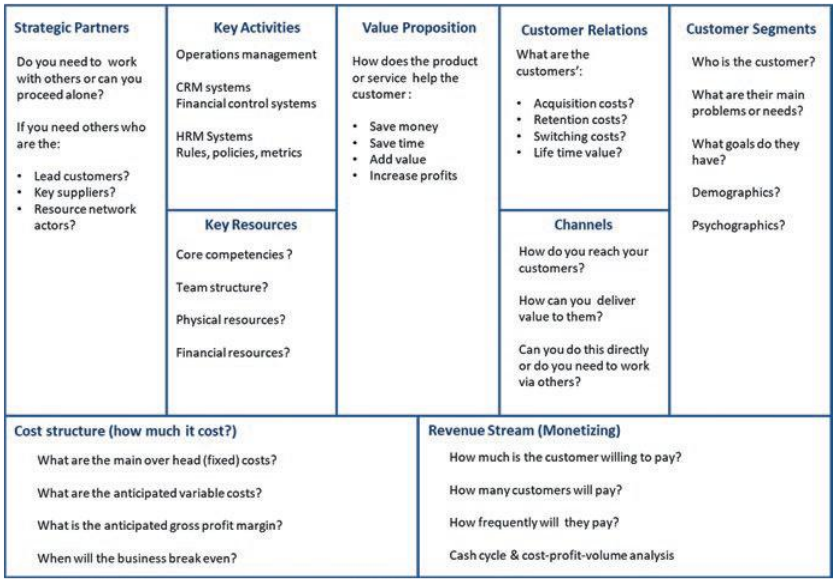
Five elements which together show the business environment.



(on how to apply the framework, see also Dobbs, M.E. (2014), Competitiveness review, Vol.24, pp.33-45)

Business model canvas (much more on this later)

- **Summarize the key technology, concept, or strategy on which your business is based and how value is created for (segments of) customers**
- **Channels of distribution**
- **Operations plan**
  - **Delivery of product/service**
  - **Partnerships**
  - **Quality control**
  - **Customer support**
- **IPR**
- **Innovation:**
  - **type, radicality, management issues related to innovation**
  - **To what extent is your business dependent upon (continuos) innovation?**
  - **What are the needs to build *dynamic* capabilities?**



Marketing plan and segmentation

- Price strategy
- Promotion and advertising
- Product / service development and – branding
- Segmentation of customers

The potential market?
TAM – SAM - SOM

- **TAM** is crucial for understanding the maximum revenue potential. It helps businesses evaluate their total growth opportunities

- **SAM** represents the portion of TAM that a business can realistically target based on its product fit, geographic focus, and operational capabilities.

- particularly important for startups with limited resources; by focusing on SAM, they can ensure that they are putting their efforts into the markets they can serve best.

- **SOM** is the portion of SAM that a business can realistically capture, considering competition, market dynamics, and internal resources

- SOM requires businesses to look inward as much as outward—understanding your own capabilities is just as important as understanding market opportunities

Minimum Viable Product (MVP)

Concept of MVP

An MVP is the smallest product version used to test business hypotheses and learn effectively. (some discussion on the definition – Lortie et al., JSBED, 2025, 'Unpacking the MVP – a framework for use, goals and essential elements')

Purpose of MVP

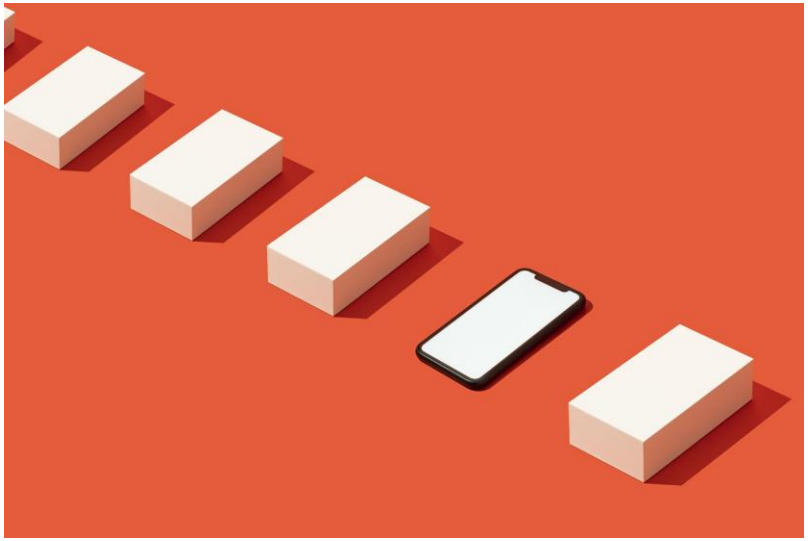
It serves as a learning tool to gather validated insights and customer feedback efficiently.

Examples of MVPs

Common MVPs include landing pages, prototypes, and concierge services to test market interest.

Benefits of MVP

Launching an MVP reduces time and costs while improving product-market fit chances.



Financial Plan (more in lecture 6)

- Capital requirements:
- Type and amount of capital
- From which sources?
- Anticipated problems related to funding your business and possible solutions?

Critical factors (chapter 8 – later)

- Summarize risks of proposed project
  - Management risk
  - Marketing risks
  - Operating risks
  - Financial risks
  - IPR risks
  - Consequences of delays
  - Other risks

- How should they be adressed?

Business Plan Pitching

- Once written the plan should be pitched.
- Training programs – investment readiness
- The ‘elevator pitch’

Back to the rationale: A critical view on Business plans

- Writing of business plans are encouraged by government agencies, advisors, universities etc.

But the Rationale = ?

- Evidence of their use? Do business plans impact positively on venture performance? Or are they purely ‘mimetic’ – stories which justify a business venture to someone? (Karlsson and Honig, 2009)

K&H incubator study – an ‘institutional perspective’

- Interviews over five years with owners, managers, and employees, in six companies located in a Swedish business incubator

- Key focus:
  - Did the entrepreneurs use business plans?
  - Why? Who suggested they were needed?
  - How were BPs used?
  - Did they contribute to growth?

Business plan use as the venture grow

Table 5
Stages of business plan use

	Alfa	Beta	Gamma	Delta	Epsilon	Seta
Stage 1: business plan writing	At startup	At start up	At start up	Before start up	Never started	Never started
Year	1999	1999	2002	1998	N/A	N/A
Stage 2: business plan use	Marginal	To raise $	To raise $	To raise $	N/A	N/A
Year	2000–2001	2000	2002–2003	1998	N/A	N/A
Stage 3: business plan development	Limited	Limited	Extensive	Unknown	N/A	N/A
Year	2001	2000	2002	N/A	N/A	N/A
Stage 4: business plan deterioration	Immediate	Immediate	Gradual	Immediate	N/A	N/A
Year	2001–2004	2000–2003	2002–2004	2000–2002	N/A	N/A
Stage 5: business plan abandonment	Gradual	Gradual	Gradual	Lost	N/A	N/A
Year	2005	2005	2005	2003	N/A	N/A
Business plan activity 2006	None	None	None	None	N/A	N/A

Business planning in practice?

- ‘We found that efforts to plan were most intensive during the start-up stages of the businesses we studied. This effort rapidly deteriorated over time, and there was no indication that any of the firms made a serious effort to rekindle planning activities once the business plan was initially written’ (K&H 2009).

..cont. – Karlsson and Honig, 2009

- ‘In this study we found that entrepreneurs answered external demands by writing business plans as part of a symbolic act to gain legitimacy for their actions’.

- ‘For the firms we studied, business planning appeared to be largely a symbolic activity, and secondarily a marketing activity’.

- ‘…..However, gradually and without exception, they lost interest in their plans, and stopped updating them. This resulted in an increasing discrepancy between the plan and the actual strategy, financial performance, and customer base of the business, as they loosely coupled their initial planning activities from day-to-day business activities’.

Implies..

- Business plans are costly investments and these need to be considered alongside other investments of managerial time
- As K&H suggest, BP may be more useful in different contexts and time periods…
- Moreover, BP are more or less useful/necessary for different targets/receivers (Mason and Stark, 2004)
- Try to predict uncertain factors

Perspective on prediction..

Blank, S., Harvard Business Review, 2013/ Blank and Eckhardt, Journal of Management, nov.2024.

- ‘Business plans rarely survive first contact with customers.’
  - ‘Everybody has a plan until they get punched in the mouth’, (Tyson, M.)
- ‘No one besides venture capitalists and the late Soviet Union requires five-year plans to forecast complete unknowns. These plans are generally fiction, and dreaming them up is almost always a waste of time.’

– a couple of different perspectives on business planning:

Effectuation

(section 3.3. in textbook)

Causation vs. effectuation

- *Causation logic:*

- Systematically trying to achieve pre-defined goals.
- A linear logic that strive for explanations and analyses
- Focuses on predicting, the expert entrepreneur who is superior to others in the field

- *Effectuation logic:*

- Goals are defined by the means and are created along the way in an interaction between entprepreneurs and environment
- Focus on abilities to imagine the goal that makes sense at a given point in time and to survive in the present time.
- The ability to network an important skill

Causation vs. effectuation

- Example:

Effectuation logic shows in the way people think and act. Based upon 5 (4) Effectual Principles:

Bird-in-hand principle;

Affordable loss principle;

Crazy Quilt principle;

Lemonade principle;

( ) Pilot-in-the-plane principle;

5 principles …

Bird-in the-hand principle.

Start with who you are, what you know and whom you know, i.e. your current means

***Not* with (goal setting) the possible opportunities out there**

5 principles

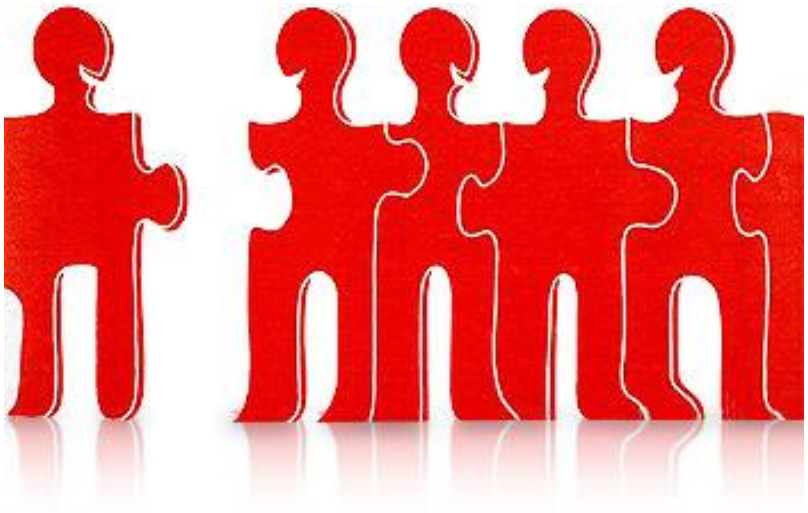
- Affordable loss principle.
  - **prescribes committing in advance to what one is willing to lose rather than investing in calculations about expected returns to the project.**

5 principles

- Crazy Quilt principle

  - **Involves negotiating with any and all stakeholders who are willing to make actual commitments to the project; determines the goals of the enterprise.**

  - **In turn, these may be re-defined when new stakeholders gets on board**



5 principles

- Lemonade principle

- **prescribes leveraging surprises for benefits rather than trying to avoid them, overcome them, or adapt to them.**

'Because assumptions about the unknown generally turn out to be wrong, new ventures inevitably experience deviations – often huge ones – from their original planned targets.'

(McGrath and MacMillan, Harvard Business Review)

5 principles

- Pilot-in-the-plane principle.

  - **Urges relying on and working with people as the prime driver of opportunity and not limiting entrepreneurial efforts to exploiting factors external to the individual.**

- **Thus, the future is created by human actions and interactions, *not* by their predictions of how it might be.**

- ***In stead of* making market analyses.**

Implications – relevant questions to potential entrepreneurs

- Who are you?
- What do you know?
- Who do you know?
- What are you willing to invest?
- Which stakeholders can you have access to?

Is it ‘not planning’? Or both-and?

- **Although they may be opposite they are not mutually exclusive.**
- **Important to be able to swift betw causation and effectuation logic.**
- **Effectuation logic is particular important in the early phases of business creation.**

- How do you assess/contrast this approach with ‘traditional’ approaches to business planning?
- Pros and cons?

The Lean Start Up approach

- - Stems primarily from Ries (2011) and Blank (2013) further promoted by others. It became popular among both entrepreneurs (start-ups) and large, established firms. Primarily innovative such. Even the U.S. government.
- A basic point of departure: "..while existing companies *execute* a business model, start-ups *look* for one. This distinction is at the heart of the lean start-up approach. It shapes the lean definition of a start-up: a temporary organization designed to search for a repeatable and scalable business model".
- - Builds on:
  - Hypothesis creation
  - Customer development
  - Agile development
- Basically, it aims at learning from failures and minimizing waste of time and resources. Learn by 'failing fast, fail cheaply'.
- '..startups in their seed and early stages have to develop customers rather than products'

The Lean Start Up approach, 5 Building blocks

- 1 Identify market opportunities. Real options thinking -> prioritizing in a portfolio of opportunities.

- 2 Formulate hypotheses – create, design, test to arrive at a *business model* (more on business models later) to satisfy costumer needs.

- 3 Validation and re-assessment of business model considering costumer feed-back. 'Costumer development' (Blank, 2013)
  - Involves interviewing potential customers to identify their problems/needs.
    - Ask (1) "Do customers recognize that they have a problem you are trying to solve? (2) If there was a solution, would they buy it? (3) Would they buy it [the solution] from us? (4) Can we build a solution for that problem" (Ries, 2011).
  - Interview the 'right' customers ('evangelists'): a small group of early, visionary customers to validate product – market fit.
  - Create how marketing and sales channels will look like. Pricing.
  - Empirical data and measurable metrics for decisions ('scientific approach')
  - An ongoing process

Cont . The Lean Start Up, 5 Building blocks

- 4 Build experiments and prototypes (Minimal Viable Product)

- 5 Pivoting – altering the course of the start-up based upon the feed-back obtained (or keeping it as is - persevere). Agile development.
  - Milestones on MVP testing and validation of costumer feedback can facilitate when decisions to pivot should be taken (as entrepreneurs are inherently biased/optimists).
  - The decisions based on hard facts from these tests and progress. Keeping track/accounts makes decisions data-driven rather than intuitive.

Lean vs. Traditional Business Planning

Traditional Business Planning

Traditional planning uses long-term forecasts and rigid strategies with a focus on detailed execution.

Lean Startup Approach

Lean Startup focuses on hypothesis-driven iterations with fast testing and learning from customer feedback. Hence, accelerates product launch by emphasizing MVPs and rapid iterative cycles.

Potentially, it reduces waste, lowers risk, and increases the chance of building successful products.

Therefore, perhaps better suited for planning in volatile markets and changing preferences as it prioritize learning over prediction.

Sum up - Business planning

- The need for/purpose of a BP (a proces) (communication tool)
- Reality = sloppy, and K&H demonstrate poor prioritisation
- Contents: Variations acc. to type of firm (the effort put in)
- Generic models/tools
- Static/check-list vs. dynamic. Framework vs. theory
- Audience (internal/external) (financiers). The pitch
- Alternative approaches – effectuation/lean start-up